

Higher long bond yields stem from more than just one thing

#australia

#luciellis

#technology

#bonds

#us

#fiscalpolicy



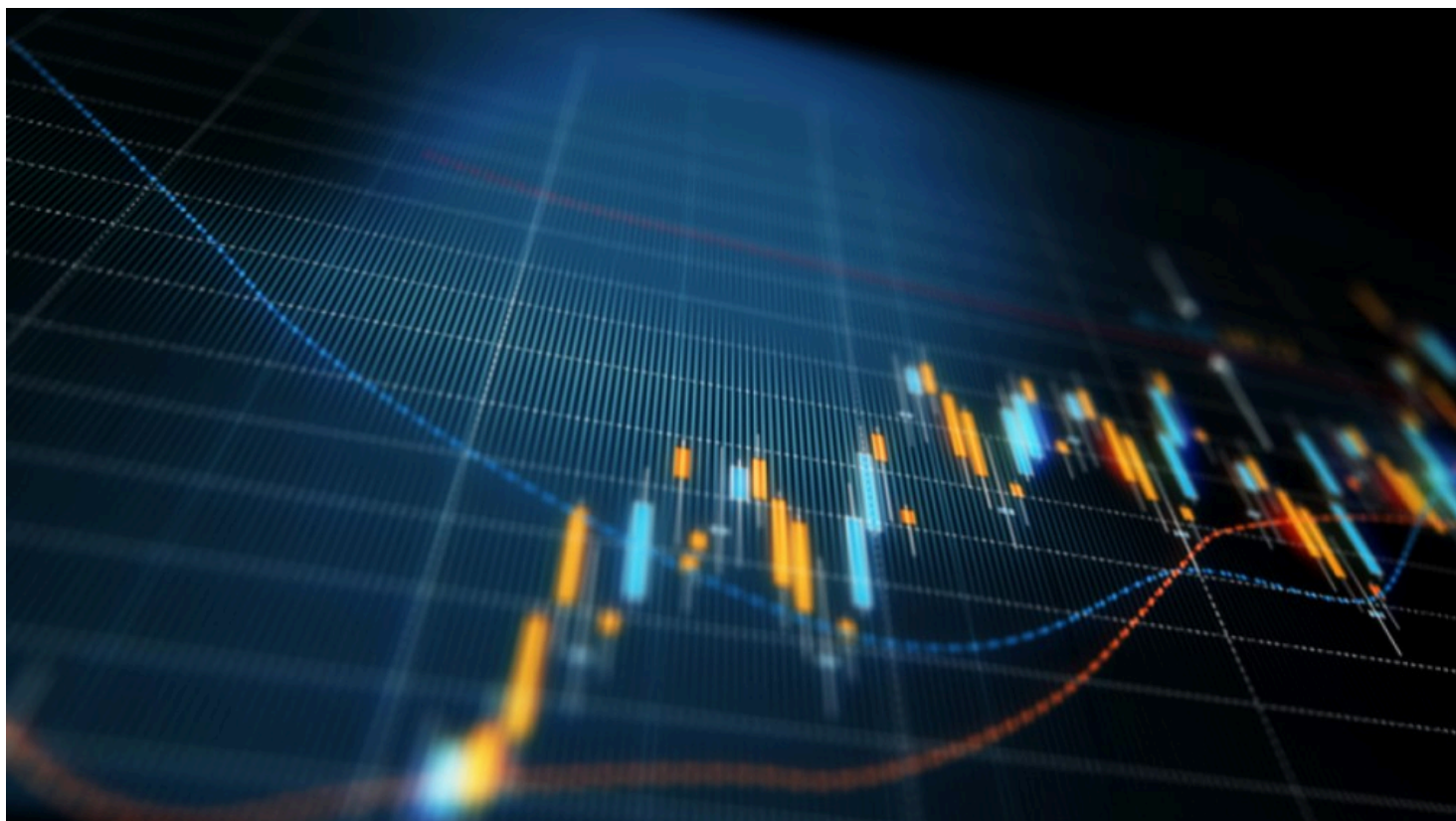
By Luci Ellis

Chief Economist Westpac Group, Westpac

10:32 August 21 2026

Share

AI-related investment and US fiscal incontinence add to the existing tendency for the global rates structure to average higher than pre-pandemic. Expect more US government action to contain debt-servicing costs.



- Bond yields have been rising in recent weeks, especially at the long end of the maturity spectrum. We have long believed that the global structure of interest rates would have a higher centre of gravity

in future than it did in the period between the GFC and the pandemic. The factors often cited for the recent rise in yields – larger government deficits globally, the investment boom from AI – were already behind this judgement.

- The question then arises: have we allowed enough for these forces? Getting the direction right is one thing; quantifying the impact is another. In doing so, though, we must take care not to confuse trend and cycle. Some of the recent rise stems from the exceptional demand for funding data centre construction. This effect of the technology wave could last a while, but it is more a cyclical development than a permanent structural one.
- For the Australian economy, developments at the long end of the yield curve tend to be less relevant. Most financing happens at the short end of the maturity spectrum, especially for households. But there are borrowers and investors who are affected by long-dated yields, especially governments.
- Higher yields mean higher debt-servicing costs, particularly for the US government. Expect more manoeuvres like the US Treasury supporting the yen by selling euros not dollars, as well as the buy-back operation this week. These are merely stop-gaps rather than a lasting solution like genuine fiscal consolidation.

Westpac Economics has long held the house view that the global structure of interest rates would be higher in the future than it was in the period between the GFC and the pandemic. Central bank policy might influence the short end, but over a longer period, what matters for interest rates globally is the global balance of saving and investment. Pre-pandemic, saving rates were high, thanks in part to official sectors accumulating reserves. Meanwhile, investment was weak. Confidence had been frayed by the crisis, and some governments were in austerity mode. That decade's new technologies did not spark the same kind of productivity-enhancing investment boom as computers and the internet did in the late 1990s and early 2000s. And in any case, banks in North America and Europe were recapitalising and less inclined to lend.

There were good reasons to see that period as an aberration, though, including the very long-term evidence we noted two years ago. As we highlighted at the time, a range of forces have been pushing “neutral” rates higher, along with the structure of interest rates more broadly. These include higher government spending as populations age, as well as the private sector needing to invest in both energy transition and AI. Higher defence spending was also in the mix, especially after Germany changed its constitution last year to allow more deficit spending for this purpose. The general fiscal incontinence of the US government was already evident two years ago and worsened under the current administration. All these factors imply greater bond supply, and so higher yields.

To unpack this further, a bond yield is normally thought of as being the combination of several components that are easier to name than to measure. Nominal government bond yields are composed of (expected) inflation plus real yields, where real yields are normally assumed to reflect expected future (real) policy rates plus a “term premium”. The term premium is in principle the compensation investors require for the risk that things turn out differently from their expectations of the other two components, and in practice is a residual grab bag of everything else that might affect demand and supply in the bond market. Corporate bonds add a risk spread to this, reflecting that a company might default but a sovereign issuing in its own currency will never need to.

The higher global structure of interest rates can be seen in all these components. Inflation generally undershot central bank targets in the 2010s; since the pandemic, it has at best been around target, with global supply shocks periodically lifting it above target. Real yields are higher, and with shorter-maturity bonds now paying positive real yields, we are seeing less of the “search for yield” behaviour that compressed both term premia and risk spreads in the 2010s.

But how much?

It is one thing to say rates will be higher on average. We also need to ask: by how much? This is where the AI boom comes in. The scale of the planned global investment in data centres is nothing short of mind-boggling, and it is creating substantial demand for debt finance. The “hyperscaler” tech firms (Alphabet, Amazon, Meta and Microsoft) used to be enormous cash generators. Now they are responsible for some of the largest debt issuances in the market, including Alphabet’s super-sized \$A deal this week. Issuance in Australia and other non-US jurisdictions makes sense for these firms. They want to access a diversified pool of investors, and many of the assets they are financing are outside the US, especially now that data centres have become unpopular in many US communities.

The scale of this greater investment call on global savings is one reason to expect longer-dated yields to average even higher in the near term than their range since the pandemic so far.

We must take care, though, to distinguish trend from cycle. This is particularly relevant for the data centre boom, which is likely to be a big thing for the next few years, but settle down as the technology matures and computing capacity expands (and becomes cheaper).

The US government is also making an exceptional call on global saving, and this looks more like a longer-term structural trend than the AI boom does. The US federal government has been running deficits in excess of 4% of GDP for a decade, aside from a brief period in 2022, and more than 6% since the beginning of 2023.

In recent weeks, rumblings of investor discontent about the US fiscal position have become evident in yields. And those hyperscaler bonds, including the \$A-denominated ones, are offering a higher yield for companies with similar ratings to the US sovereign. The bonds of governments in better fiscal positions, including Australia’s, also start looking attractive. To this we must add that Japan now looks to be becoming a “normal” economy with positive inflation and interest rates, and an undervalued currency that might tempt some investors to bet on an appreciation. While it remains the case that There Is No Alternative to the US Treasury market for depth and liquidity, some diversification out of USD assets is starting to look both more feasible and more attractive.

The other consequences

For the Australian economy, developments at the long end of the yield curve tend to be less relevant than those at the short end. Most financing happens at the short end of the maturity spectrum, especially for households. But some borrowers and investors are affected by long-dated yields, especially governments, and the local firms involved in data centre construction.

Offshore, we can see higher yields constraining policy decisions by the US government and can expect more on this front. The US government's debt-servicing costs are becoming more burdensome as large deficits persist and yields rise. Just in the past few weeks, we have seen some unusual currency interventions by the US Treasury, followed by buy-backs designed to shorten the maturity profile of US government debt and lower the term premium paid. And while we expect the Fed will not fold in the face of pressure to keep rates low, we can well imagine the content of the phone calls between FOMC Chair Warsh and President Trump. Expect more manoeuvres by the US authorities along the lines seen recently. These are merely stop-gaps, though, not lasting solutions like genuine fiscal consolidation.

Stay informed with Westpac IQ

Get the latest reports straight to your inbox.

Subscribe

Related articles



#australia

Q2 GDP Partial & Forecast Update

September 01 2026 • ⌚ 5 mins

By [Pat Bustamante](#), [Mantas Vanagas](#), [Ryan Wells](#) & [1 more](#)



#australia

Business Indicators, June Quarter 2026

August 31 2026 • ⌚ 5 mins

By [Pat Bustamante](#)



#australia

Australia and NZ Weekly 31 August 2026

August 31 2026 • ⌚ 10 mins

By [Luci Ellis](#), [Matthew Hassan](#), [Elliot Clarke](#) & [10 more](#)

Browse topics

#aud

#australia

#interestrates

#nzd

#usd

#newzealand

#rates

#credit

#yieldcurve

#acgb

#inflation

#semigovernment

#rba

#basis

#commodities

#ustreasury

#fx

#jpy

#rbnz

#abs

Show more tags

Disclaimer

©2026 Westpac Banking Corporation ABN 33 007 457 141 (including where acting under any of its Westpac, St George, Bank of Melbourne or BankSA brands, collectively, “Westpac”). References to the “Westpac Group” are to Westpac and its subsidiaries and includes the directors, employees and representatives of Westpac and its subsidiaries.

Things you should know

We respect your privacy: You can view the [New Zealand Privacy Policy](#) here, or the [Australian Group Privacy Statement](#) here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

This information, unless specifically indicated otherwise, is under copyright of the Westpac Group. None of the material, nor its contents, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party without the prior written permission of the Westpac Group.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide [here](#) or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2) of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found [here](#). Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.